20.	**For credit exposure of Rs 50 crore and above: Comments on CCM, CO based on review of Monthly Credit Monitoring Report to be incorporated: As below**	
20.1	**Comments on presence of RBI Early Warning Signals**	As per CCM Letter vide CCM: 2330:2024-25 dated 18.06.2024, Credit Monitoring and Compliance Department, CO has shared the EWS alerts extracted from EWS Portal as on 31.05.2024. As below

S N	EWS Alert	Reply from Branch
i.	Borrower reported as Defaulter by other bank(s) in CRILC On 22-09-2023, following banks have reported that the borrower's exposure has moved into default in CRILC platform for the account "BHARAT HEAVY ELECTRICALS LTD": (Small Industries Development Bank of India: 22-09-2023, Union Bank of India: 22-09-2023	BHEL vide their mail dated 13.10.2023 has confirmed that BHEL has no consortium relation with SIDBI. As far as Union bank is concerned, the default related is due to technical issues in one of the units in Bengaluru and the same was settled next morning and payment was duly done and hence, BHEL was moved out of default.
ii.	Resignation of the key personnel and frequent changes in the management: On 16-10-2023, 2 Key Management Personnel, Names: Renuka Gera, Upinder Singh Matharu have resigned from their post dated: 31-08-2023.	The directors Renuka Gera, Upinder Singh Matharu have resigned from their post dated: 31-08-2023 on attaining super- -annuation.
iii.	MCMR Observations in LAS: Last MCMR Submitted by the Branch for the month of **April'2024.** Branch is Advised to comply all the observation mentioned in Last MCMR report	Observations on MCMR for April 2024 is not yet received from CO. Note: Branch to ensure that the irregularities of MCMR are rectified.
iv.	As per our records the subject borrower is having banking exposure of Rs.1500.00 Crore and above. Hence, Branch to monitor the account on regular basis and ensure that there should not be any financial default by the borrower with our Bank or any of the Lenders. In case of any occurrence of default, RBI 7th June 2019 guidelines to be followed regarding implementation of Resolution Plan and timelines to be strictly adhered to avoid additional provisioning.	Note: Branch to ensure the same.

21.	**Comments on Assessment of Limits**	:	Bill Discounting Limit Assessment is discussed as under:-

21.1	**Business model / working of concern (including details of top 5-10 debtors and creditors)**		As Under:-

- BHEL offers end to end systems, Products and Engineering, Erection & Commissioning services for thermal power plants encompassing steam turbines, generators, boilers and matching auxiliaries up to 1000 MW ratings and has supplied sets of 660/700/800 MW based on supercritical technology.
- BHEL's operations are organized into three business sectors namely Power, Industry and International operations. The power Division supplies power plant equipment and executes power projects, while the industrial division manufactures power transformers, switchgear and other electrical machineries and locomotive.
- BHEL serve their customers with a comprehensive portfolio of products, systems and services in the areas of power-thermal, hydro, gas, nuclear & solar PV, transmission, transportation, defense & aerospace, oil & gas, and water.

- BHEL manufactures a wide range of high quality & reliable products adhering to national and international standards. The worldwide installed base of power generating equipment supplied by BHEL exceeds 190 GW. Having installed more than 1000 thermal, hydro, nuclear, gas and solar PV based power generating sets in the country, BHEL is now building strong foundations for cleaner and greener energy usage in future.
- BHEL manufactures wide range of Power plant and also caters to the industry sector.

BHEL's Product Profile

Thermal power plants	Solar power system	Industrial systems	Valves
Nuclear power plants	DG power plants	Boilers	Piping systems
Gas-based power plants	Desalination and water treatment plants	Boiler auxiliaries	Seamless steel tubes
Hydro power plants	Systems and services	Soot blowers	Steam turbines
Transmission systems control	Software system solution	On load tap changers (oltc)	Turbo generators
Pumps	Castings and forgings	Solar photovoltaics	Compressors
Industrial sets	Condenser and heat exchangers	Automation and control systems	

Major Customer - Details of Revenue from Single Customer exceeding 10% of total revenue of BHEL is as under:

Particulars	Power	Industry	Total
	2023-24 (Aud.)	(Rs. in Crore)	
CPSUs	6888.04	2096.72	8984.76
TSGENCO	2834.77	-	2834.77
Total	**9722.81**	**2096.72**	**11819.53**
	2022-23 (Restated)		
CPSUs	5581.63	1639.38	7221.01
TSGENCO	3112.02	-	3112.02
Total	**8693.65**	**1639.38**	**10333.03**

Top 5 customers as on 31.03.2024 are as under:

-Telangana State Power Generation Corporation Ltd (TSGENCO)
-National Thermal Power Corporation Limited (NTPC)
-Rajasthan Rajya Vidyut Utpadan Nigam Limited (RRVUNL)

Whether A/c is taken / to be taken over. If so norms for takeover are fulfilled	:	Not Applicable.

21.2	**Projected Level of Sales**	:	Sales performance of company is as under;

Particulars	*Mar. 21 (Aud.)*	*Mar. 22 (Aud.)*	*Mar. 23 (Restated)*	*Mar. 24 (Aud)*	**Mar.25 (Proj)**
Sales/Revenue	17308.44	21211.09	23364.94	23,892.78	26,112.70
% of growth	--	22.55%	10.15%	2.25%	9.29%

- The company posted a growth of 10.15% in Revenue from Operations, achieving ₹23,364.94 Crore during FY 2022-23 as against ₹21,211.09 Crore in the FY Mar' 22.

- The company has achieved Sales/Revenue of Rs. 23,892.78 crores for the FY 23-24. It is noted that there is change in accounting policy of the company as stated in the audited balance sheet 2024.

- The projection for the FY ended 26,112.70 crores for FY ending 2025 has been stated by the company. It is pertinent to note that the order book of the company stood at Rs. 1,31,598 crores as of March 31, 2024. Hence, in view of that the company may achieve the projected sales.

<u>The key projects are as under;</u>

- BHEL and Titagarh Wagons have received an order to supply 80 sleeper class Vande Bharat trains. The consortium will undertake comprehensive maintenance of the same for 35 years.
- State run PSUs Nuclear Power Corporation of India Limited (NPCIL) and BHEL have entered into an MOU to jointly pursue business opportunities in the area of Nuclear Plants based on Pressurised Heavy water reactor technology. The collaboration of two major PSUs will pave way for early implementation of non-polluting and long cycle Nuclear Power Projects.
- The aggregate order book as of March 31, 2024, stood at ₹1,31,598 crore (PY: ₹91,336 crore). The executable order book, expressed as a percentage of the total, has significantly improved to 94.16% as of March 31, 2024 .
- Bharat Heavy Electricals Limited and Indraprastha Gas Limited also signed a memorandum of Understanding (MoU) for joint collaboration for the development, manufacturing and deployment of Type-IV Cylinders (CNG &/or Hydrogen). The companies, in collaboration, will also work on Hydrogen blending in city gas distribution (CGD) and fuel cell-based power backup systems.

21.3	**Comments on Inventory / Receivable**	:	In line with assessment made by lead bank, State Bank of India

Inventory/Payments		**Audited 2020-21**	**Audited 2021-22**	**Audited 2022-23**
Raw Material	Amount	2900.07	2182.39	3028.92
	Day	206	172	186
Stock in Progress (SIP)	Amount	3778.22	3334.54	3482.75
	Day	76	60	74
Finished Goods	Amount	692.47	607.94	511.77
	Day	14	11	8
Receivables	Amount	4033.63	3024.75	3128.35
	Day	100	59	51
Sundry creditors	Amount	6677.74	7749.59	9895.83
	Day	477	616	606

Raw Material Inventory Holding: Holding period for total inventory of the Company has remain consistent at a higher level in FY 2021 like in FY 2020 as there is slower execution of projects and reduced top line continues. Primary reason attributable to the same is general slowdown in economy and COVID related disruptions in previous FYs. The same has shown improvement from FY 2021-22 due to efforts made to streamline the procurement process, strengthening internal controls for usage of available inventory, synchronising delivery of items with site requirements and manufacturing lead time and ensuring alternate usage of available inventory to the extent feasible. However, there is slight increase in holding levels in the FY 2022-23.

Stock in Progress (SIP) holding: Holding period of SIP/WIP and finished goods have also remained on higher side in FY 20-21 for reason mentioned above. However, the holding period has decreased in FY 21-22 but again increased in the FY 22-23.

Receivables Holding: The holding period of receivables has reduced substantially in the FY 2021-22 and FY 2022-23 due to Company's focused effort resulting in reduction of Net trade receivables, despite increase in volume of operations. Improved focus on quality of billing, sequential dispatches, closure of pending issues with customers, prioritizing projects where cash is realisable etc. were some strategies adopted by the company, resulting in improved liquidation of Current year billing to highest levels resulting in improved receivable holding period.

Note: Company is emphasizing for completion of projects on time and recovery of the dues. The main business of the Company is execution of power projects on EPC basis. These types of projects are capital intensive in nature and have long construction period. Payment are released by customers on achieving milestones as per agreement. Therefore, there are high number of deferred receivables i.e. for which payment is not yet due. Accordingly, some of their receivables are realized up to one year also, retentions are released on completion of such realization period (particularly the final payments of completed projects are realized with some delay). In present competitive scenario, customers are also pushing for deferred payment terms.

It is pertinent to note that share of CPSU, Railways and Government Departments in total receivables (including non-current contract assets) has improved to 39% in FY 22-23 as against 37% in FY 21-22 while share of State Electricity Board reduced to 41% during FY 22-23 as against 42% for FY 21-22 depicting good quality of receivables and contract assets over medium to long term. The Company also while providing stock statement gives a bifurcation as per receivables up to 1 year and beyond one year. Accordingly, Lead Bank has proposed to continue the cover period on book debts of one year.

Total receivables as on 31.03.2023 is Rs. 36283.92 crore which consist of receivables up to 1 year of Rs.17355.34 crore and beyond 1 year of Rs.18928.58 crore. The deferred receivables are projected to decrease to Rs. 25450 Crore in FY 2023-24 (Rs. 7950.00 Crore due within 1 year and Rs. 25450 Crore beyond one year). With increased competition and challenging market scenario, clients have reduced paying advances on order finalizations and are pushing for more deferred payments terms, resulting in increase in deferred receivables. This has resulted in increase in reliance on FBWC limits. The company has taken a lot of measures to improve timely completion of projects and reduction of cost. The Company is planning to have better inventory management to improve profitability.

Sundry Creditors Holding:
Sundry Creditors days (Imports) was increased from 477 days in FY 20-21 to 616 days in FY 21-22. However, the same is almost flat at 606 days in FY 22-23 and projected to decrease to 300 days in FY 23-24.

Working capital cycle:
Lead bank in its latest assessment note has also mentioned that BHEL has been continuously focussing on improving its performance through change in operational ideology from being Revenue Centric to Project Centric which has led to successful closure of long pending projects, resolution of performance issues, arresting continuous project delays, reduction in damages & rework for material equipment lying at sites for long periods and improving quality of material equipment available for Erection & Commissioning.

Concerted efforts on quality billing and resolution of long-standing issues with customers resulted in reduction of Trade Receivables. However, some of the major projects under execution by the Company have skewed payment terms in the form of supply payments partly getting linked to achievement of intermediary milestones, increased proportion of payments linked to completion activities etc., resulting in increase in contract assets. The above steps have reflected favourably in its holding period numbers.

21.4	**Comments on Industry norms as per approved rating agencies on holding levels of Raw Materials, Stock in process, finished goods, stores, Receivables and Sundry creditors:**	:	As per CRISIL report dated Mar 2024, industry norms on holding level is as under;

Particulars	Mar-21	Mar-22	Mar-23	BHEL Mar-23
Raw materials	32	29	28	186
SIP	226	216	202	74
Finished goods	4	4	4	8
Receivables	136	125	105	51
Creditors	307	304	241	606

21.5	**Working Capital Assessment**	:	The limits are due for renewal in Dec 2024. The company has requested for sanction of Bill-Discounting limit now. The present proposal is for sanction of Bill-Discounting limit as a sub-limit of Non-Fund based limit.

Assessment of Bill-Discounting facility for Rs 500.00 Cr

- Company is enjoying CC(H) limit of Rs. 550.00 crore within the BG limit of Rs. 1425.00 crore. They have also been sanctioned Line of credit facility w/w STL of Rs. 1368.00 crores.
- Now they have requested sanction of Bill Discounting facility for Rs. 500 crores within the BG limit, to keep the overall exposure at the existing level.
- The typical bill verification cycle is about 30-90 days after bill submission.
- To enhance the liquidity position, BHEL has sought said Bill Discounting limit against bills of reputed companies.
- Reputed companies include NTPC, TNGENCO, TGENCO, DVC, UPDC and APGENCO which account approx 40% of its revenues.

Details of Business Structure/Contracts of BHEL: BHEL is engaged in execution of construction contracts for Thermal Power plants which typically has following:

✓ **Supply Contracts:** The scope of supply contracts include supply of equipment from different manufacturing units of BHEL. However actual scope varies from contract to contract.

- The price of supply contract is well defined in the Contract. For example:-
  - Advance Payments: 10%
  - On Dispatch of material from different BHEL Manuf. units/vendor works: 65%
  - On receipt of material at plant site: 15%
  - On completion of Trial operation of Plant: 5%
  - On completion of Performance Guarantee tests of plant: 5%

✓ **Erection and commissioning contract**: it include Erection of supplied equipment's at project site as per agreed schedule, testing and commissioning of equipment's. Price of E&C/Civil works Contract is well defined in Contract. For example:
  - Advance Payments : 10%
  - On progressive billing: 80%
  - On completion of Trial operation of Plant: 5%
  - On completion of Performance Guarantee tests of plant: 5%

- Few Erection and commissioning contracts are typically linked with milestones. For example:
  - For E&C Contract.
  - ■ Advance Payments: 2.5%
  - ■ Mobilization Advance: 2.5%
  - ■ On progressive billing: 89%
  - ■ On completion of initial operation of Plant: 6%

- On completion of Performance Guarantee tests of plant: 6%
- For Civil Works Contracts:
- Advance Payments: 2.5%
- Mobilization Advance: 2.5%
- On progressive billing: 89%
- On completion of Performance Guarantee tests of plant: 6%

✓ **Plant Civil Works Contracts:** As informed by the company, few EPC Contracts may also have Plant Civil works in scope.

- The company has mentioned that the execution/completion of contracts vary from 42 months to 54 months for EPC contract of Thermal Power plant. Further, the schedule also depend upon the number of units and scope of Supply and services.

✓ **Billing and payments methods / Bill verification cycle**

- Total Project Contract prices is usually divided in to itemized/ weight based billing break up
- Approval are given by Owner for Billing break up (BBU) schedules
- Based on above BBU approvals billing is to be made with necessary supporting documents
- Bills are to be submitted to customer Site officials (Technical)
- Bills from Site technical moves to site (Accounts/ finance) for onwards verification of billing data.
- Typical bill verification cycles is about 30-90 days after bill submission.
- Bills verified from Site Finance will move to Accounts (Loan / Treasury) for final payments - Location of this office vary from customer to customer , sometimes at Customer HQ.
- Mode of payments includes thru' letter of credit (LC), direct payments or mix of both, based on contract conditions.

As per the discussion held with the company, the company has stated that they deal with the companies NTPC (Rated AAA), TNGENCO (Rated A), TGENCO (Rated BBB+), DVC (Rated AAA), UPDC and APGENCO (Rated BB) which are PSU/Govt. concerns. The company supplies the material to the above mentioned companies based on their contract terms with the respective customers and accordingly bills are raised on these companies.

Branch has assessed the Inland Bill Discounting Limit as under: (Rs. in crores)

SN	Particulars	Amount
A	Yearly Sales for FY 2023-24	23,892.78
B	Sales for which Bill Discounting required (25% of A) Less: Advance Payment Recd (Approx.15%)	5973 896
C	Net Sales	5077
D	Tenor of Bill	90 Days
E	Eligible Limit	1269
F	Limit Request by Party/Proposed by Branch	500.00
F	Limit recommended	500.00

Note:Branch to inform the other lenders of consortium about this proposed Bill Discounting limit within the existing BG limit.

The company at present is not availing any bill discounting limit from any bank and with regards to such facility they are in discussion with various banks . Being one of the member banks we propose to start with a limit for Rs 500.00 crores with " Recourse to BHEL"

Brief terms of proposed Bill Discounting facility :

S. No.	Description	Terms & Conditions
1.	Facility	Bill Discounting Facility- Sub limit of BG Facility.
2.	Limit	Rs 500.00 Cr
3.	Security	• Exclusive Charge on the Bills Discounted/Purchased • Bills discounted shall not be a part of Working Capital Drawing Power of the Company
4.	Margin	Nil
5.	Tenor	Upto 180 days
6.	Rate of Interest	Applicable Pricing for Bill Discounting linked with EBLR as per IC No 4292-2023 dated 24.08.2023
7.	Personal Guarantee/Corporate Guarantee	Nil
8.	Recourse	With Recourse to BHEL Limited
9.	Processing fee	0.10% of the Sanctioned Limit
10.	Prepayment Penalty	Nil
11.	Stamp duty Charges	Actual as per Indian Stamp Act,1899
12.	Repayment	Individual bill/invoice shall be repaid within Due date subject to maximum of 90/180 days from the date of discounting of the bill/invoice plus grace period of maximum 15 days.
13.	Other conditions	➢ Invoice issued by BHEL and financed by our Bank shall not be discounted through any other Banks/financial institution or Invoice discounting Platforms etc. An undertaking to this effect shall be obtained from the BHEL ➢ In case of default of any Invoice further financing will be stopped immediately. ➢ Finance amount will be directly credited to the BHEL's designated account. ➢ Borrower has no recourse to the Bank in respect of disputes with respect to quality of goods or in any other matter relating to the transactions between the buyer and the seller /supplier

- ✓ The Company is presently enjoying the working capital limit of Rs. 60,000.00 Crore under the Consortium arrangement led by State Bank of India. Our bank's existing exposure is Rs. 2843.00 Crores. Conduct and operations of the account are satisfactory.
- ✓ BHEL is one of the largest engineering and manufacturing companies in India serving core sectors of economy with majority stake held by Government of India (GoI).
- ✓ The account is rated as AA-(Long Term)/A1+ (Short Term) by external rating agency, CARE.

In view of the above, branch has recommended for sanction of Bill Discounting limit for Rs.500.00 Crores to BHEL as a sub limit to BG Limit of Rs 1425.00 Crore. We endorse Branch recommendation.

21.6	**Assessment of Non-Fund Based Limits**	:	Not Applicable

21.7	**Term Loan**	:	NA, no term loan sanctioned for the account by our Bank.
21.7.1	**Sanction of fresh Term Loan**		Not Applicable
21.7.2	**Review of existing Term Loan**		

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